

5. Olive's household accounts for the last financial year are listed below:
- | | | | |
|------------------------|--------|---------------------|--------|
| Health Insurance | \$2760 | Household Insurance | \$1950 |
| Water Rates | \$648 | Council Rates | \$2875 |
| Electricity | \$2080 | Gas | \$1260 |
| Telephone and Internet | \$1140 | Water Usage | \$560 |

- (a) Determine how much Olive's house accounts totalled.
- (b) Olive estimates that inflation will increase her household expenses by 9% during the next financial year. Calculate the expected total for the next financial year.
- (c) Olive budgets for these anticipated expenses by putting aside from her income a fortnightly amount. Calculate this amount to the nearest dollar.

6. Kenny's weekly take home pay from his supermarket job is \$760 and his part time job delivering the community newspaper earns him \$20 for the first 300 papers and 8.5 cents for each paper over 300. Kenny averages 960 paper deliveries each week.

Kenny prepares a budget as follows:

Rent \$220 per week	Food \$85 per week	Utilities \$210 per month
Motoring costs \$55 per week	Car loan \$160 per month	Insurance \$1200 p. a.
Entertainment \$80 per week	Clothing \$40 per week	Health Cover \$890 p.a.

- (a) Calculate how much Kenny is planning to save over the year. Hint: Use a spreadsheet.
- (b) Are there any budgeted items on which Kenny could make extra savings or where extra money should be spent? Discuss.

7. Harriet, a year 11 student, has a part-time job and earns \$470 each month after tax. Monthly she usually averages earnings of \$60 babysitting and doing odd jobs. Harriet's monthly expenses are: bus fares \$90, piano lessons \$140, college expenses \$50. Harriet saves \$160 each month towards the cost an overseas music tour with the college band next year. Whatever is left she divides equally between entertainment, clothes and mobile phone costs.
- (a) Identify Harriet's expenses as either fixed or discretionary expenses.

- (b) Using the template below prepare a monthly budget for Harriet.

Income	Fixed expenses	Discretionary expenses
Total		

- (c) How much does Harriet budget for mobile phone expenses each month?

- (d) What percentage of her income does Harriet save?

- (e) Next month Harriet wants to save more towards the cost of the music tour. Discuss how she could achieve this.

8. Listed below are Jack's income and expenses from last month.
- Weekly Income:** \$504
- Expenses last month:** Rent \$810; Food \$380; Health Insurance \$86; Clothes \$60; Fares \$60; Electricity \$60; Entertainment \$300; Mobile Phone \$75:
- (a) Prepare a monthly budget statement for Jack under the headings of Income, Fixed expenses and Discretionary expenses.
- (b) How much was Jack able to save last month?
9. Sally's annual take home pay is \$32 500 and her expenses for last month are listed below:
 Rent \$962/month; Health Insurance \$1144/year; Fares \$28/week; Clothes \$55/week;
 Mobile Phone \$28/week; Entertainment \$90/week; Electricity and Gas \$117/month;
 Home Contents Insurance \$156/quarter; Food \$85/week; Fashion Magazine \$8/week.
- (a) Prepare a weekly budget statement for Sally under the headings of Income, Fixed expenses and Discretionary expenses.
- (b) How much is Sally able to save in a year if she sticks to this budget?
10. Fryderyk earns \$2625 per fortnight as a salaried officer in a government department. Fryderyk budgets for rent, food, entertainment, transport, taxation and clothing at the following percentage rates 20%, 15%, 9%, 8%, 30% and 6% respectively. Whatever remains of his fortnightly salary Fryderyk deposits in a savings account.
- (a) Calculate the actual amount budgeted for in each case.
- (b) How much does Fryderyk plan to save each fortnight?
- (c) If Fryderyk's rent is increased by 5% per annum and all other expenses remain unchanged, how will this affect his fortnightly savings?
- (d) If Fryderyk's salary increases by 5% and his fortnightly expenses remain unchanged, how much would he be saving each fortnight?

5. (a) \$13273 (b) \$14467.57 i.e. \$14470 (c) \$46

6. (a) \$11987.20 (b) Kenny could make extra savings by reducing his entertainment budget. Kenny should consider increasing his car loan repayments and to pay off the loan as soon as he can as this will save interest charges on the loan. Kenny should also consider setting aside some of his savings for his retirement by contributing to a superannuation fund.

7. (a) Fixed expenses: Fares, piano lessons, college expenses, tour savings. Discretionary expenses: Entertainment, clothes, mobile phone

(b)

Income	Fixed expenses	Discretionary expenses
Job 470	Fares 90	Entertainment 30
Babysitting 60	Piano lessons 140	Clothes 30
	College 50	Mobile phone 30
	Savings 160	
Total \$530	\$440	\$90

(c) \$30 (d) 30.2% (1 d.p.) (e) Extra savings can be made by reducing or eliminating discretionary expenses.

8. (a)

Income	Fixed expenses	Discretionary expenses
\$504 x 52/12 = \$2184	Rent \$810 Health Ins \$86 Fares \$60 Electricity \$60	Food \$380 Entertainment \$300 Clothes \$60 Mobile phone \$75
Total \$2184	\$1016	\$815

(b) \$353 savings

9. (a)

Income	Fixed expenses	Discretionary expenses
\$32500/52 = \$625	Rent \$222 Health Ins \$22 Fares \$28 Electricity \$27 Home Ins \$12	Food \$85 Entertainment \$90 Clothes \$55 Mobile phone \$28 Magazine \$8
Total \$625	\$311	\$266

(b) \$2496 savings

10. (a) Rent \$525; Food \$393.75; Entertainment \$236.25; Transport \$210; Taxation \$787.50; Clothing \$157.50

(b) \$315

(c) Fortnightly savings reduced by \$26.25. (d) \$446.25